AS

ECONOMICS

7135/2

Paper 2 – The National Economy in a Global Context

Practice Paper 2 (Advanced)

Practice question paper (in the style of June 2024)

Time allowed:	1 hour 30 minutes
Total marks:	70
Materials:	A calculator is required.

Instructions

• Use black ink or black ball-point pen. Pencil should only be used for drawing.

• Answer **all** questions in **Section A**.

• Answer **either** Context 1 **or** Context 2 in **Section B**.

• Show your working clearly for calculation questions.

• You must answer in the spaces provided.

Information

• The maximum mark for this paper is 70.

• The marks for questions are shown in brackets.

• No deductions will be made for wrong answers in Section A.

Section A

Answer **all** questions in this section. Only one answer per question is allowed.

0 1 An economy's potential output is growing at 2% per year, but actual output is growing at 3.5%. Other things being equal, this is most likely to lead to

A a widening negative output gap.

B a widening positive output gap and rising demand-pull inflation.

C disinflation and falling unemployment.

D an increase in spare capacity.

[1 mark]

0 2 Which one of the following would NOT directly form part of UK GDP measured using the expenditure approach?

A Household consumption

B Government spending on healthcare

C Imports of goods and services

D Investment in new machinery

[1 mark]

0 3 An economy has a marginal propensity to save of 0.1, a marginal propensity to import of 0.2 and a marginal tax rate of 0.2. The value of the multiplier is

A 1.5

B 2.0

C 2.5

D 3.0

[1 mark]

0 4 Country X experiences a 10% depreciation in its exchange rate. The price elasticity of demand for its exports is -0.4 and the price elasticity of demand for its imports is -0.5. According to the Marshall-Lerner condition, the depreciation will most likely

A improve the current account balance.

B worsen the current account balance.

C leave the current account balance unchanged.

D lead to a balanced budget.

[1 mark]

0 5 Quantitative easing (QE) is most likely to

A increase the supply of money in the economy and raise asset prices.

B reduce the budget deficit.

C increase short-term interest rates set by the central bank.

D reduce the size of the central bank's balance sheet.

[1 mark]

0 6 Hysteresis in the labour market refers to

A the tendency for unemployment to fall during economic recoveries.

B the persistence of high unemployment after the cause has passed, due to skills atrophy.

C the seasonal pattern of employment in agriculture.

D the use of part-time workers to meet temporary increases in demand.

[1 mark]

0 7 If nominal GDP rises by 5%, the population rises by 1% and the price level rises by 3%, real GDP per capita rises by approximately

A 1%

B 2%

C 4%

D 8%

[1 mark]

0 8 A country has a current account deficit of £80 billion. Other things being equal, this must be matched by

A a surplus on the financial and capital accounts of £80 billion.

B a budget deficit of £80 billion.

C a fall in the exchange rate of 8%.

D a rise in net exports of £80 billion.

[1 mark]

0 9 Which one of the following statements about the Phillips Curve is most accurate?

A It shows a positive long-run relationship between inflation and unemployment.

B It suggests that in the short run, lower unemployment may be associated with higher inflation.

C It indicates that fiscal policy is more effective than monetary policy.

D It only applies to economies with fixed exchange rates.

[1 mark]

1 0 If a government wishes to reduce demand-pull inflation while also encouraging long-run growth, the most appropriate policy mix would be

A expansionary fiscal policy and tight monetary policy.

B contractionary fiscal policy and expansionary supply-side policy.

C expansionary fiscal and monetary policy combined.

D contractionary fiscal policy and contractionary supply-side policy.

[1 mark]

1 1 The 'paradox of thrift' suggests that

A increased saving by individuals always benefits the economy.

B an attempt to save more in aggregate may reduce total saving by lowering national income.

C savings and investment are always equal in equilibrium.

D interest rates determine the level of savings.

[1 mark]

1 2 A government runs a primary budget surplus of £25 billion but pays £45 billion in interest on the national debt. Its overall budget position is

A a surplus of £70 billion.

B a deficit of £70 billion.

C a surplus of £20 billion.

D a deficit of £20 billion.

[1 mark]

1 3 Cost-push inflation caused by higher imported raw material prices is most likely to be associated with

A a rightward shift of AD.

B a leftward shift of SRAS.

C a rightward shift of LRAS.

D a movement along the AD curve.

[1 mark]

1 4 Which of the following best explains why the long-run aggregate supply curve is typically drawn as vertical?

A Prices are flexible in the short run

B Output in the long run depends only on the productive capacity of the economy

C Wages are sticky downwards

D Aggregate demand has no effect on output

[1 mark]

1 5 An economy in a deep recession is likely to experience all of the following EXCEPT

A rising cyclical unemployment.

B falling tax revenues.

C increased welfare spending.

D rising business investment.

[1 mark]

1 6 Time lags in monetary policy mean that

A the effects of interest rate changes are felt immediately.

B monetary policy is ineffective in controlling inflation.

C changes in Bank Rate may take 12-24 months to fully affect inflation.

D monetary policy is more effective than fiscal policy.

[1 mark]

1 7 Crowding out occurs when

A increased government borrowing raises interest rates and reduces private sector investment.

B imports rise faster than exports.

C government spending directly substitutes for private consumption.

D tax cuts reduce government revenue.

[1 mark]

1 8 Which one of the following is most likely to indicate that an economy is approaching its productive capacity?

A A rising unemployment rate

B Falling vacancies

C Rising wage inflation and skill shortages

D A widening output gap (negative)

[1 mark]

1 9 A weakness of using GDP per capita as a measure of living standards is that it

A ignores changes in the price level.

B does not account for income distribution or non-market activity.

C is only available for developed countries.

D cannot be compared across time.

[1 mark]

2 0 If the Bank of England forecasts that inflation will exceed its 2% target in 18 months, the most appropriate immediate policy response is most likely to be

A cut Bank Rate to stimulate demand.

B raise Bank Rate to dampen future inflationary pressure.

C increase government spending.

D leave Bank Rate unchanged and wait for inflation to rise.

[1 mark]

END OF SECTION A

Section B

Answer **either** Context 1 **or** Context 2. There is a total of 50 marks for either context.

EITHER

Context 1 – Total for this context: 50 marks

THE UK COST-OF-LIVING CRISIS

Study the extracts below and then answer the questions which follow.

Extract A *UK CPI inflation and CPI inflation excluding energy and food, 2021-2023*

The chart shows UK CPI inflation peaking at 11.1% in October 2022, the highest level for 41 years. Core CPI inflation (excluding energy and food) peaked at 7.1% in May 2023, several months later than headline inflation.

Key data points:
- Jan 2021: CPI 0.7%; Core CPI 1.4%
- Oct 2022: CPI 11.1%; Core CPI 6.5%
- May 2023: CPI 8.7%; Core CPI 7.1%
- Dec 2023: CPI 4.0%; Core CPI 5.1%

Extract B *Drivers of UK inflation*

The 2021-2023 inflation surge in the UK had multiple causes. The post-pandemic recovery led to a rapid increase in global demand for goods, while supply chains struggled to keep pace. Russia's invasion of Ukraine in February 2022 caused wholesale gas prices to rise more than fourfold, with knock-on effects on electricity, fertiliser and food prices.

Labour market tightness compounded these pressures. UK economic inactivity rose by around 600,000 between 2020 and 2023, partly due to long-term sickness and early retirement. Vacancies reached record highs, and average weekly earnings growth peaked at 7.8% in summer 2023, the highest non-pandemic rate in over 20 years.

The Monetary Policy Committee responded by raising Bank Rate from 0.1% in December 2021 to 5.25% by August 2023 - a total of 14 consecutive increases. The Committee aimed to bring inflation back to its 2% target within a two-year horizon.

Extract C *Inflation, wages and the cost-of-living squeeze*

For much of 2022 and 2023, UK CPI inflation exceeded the growth rate of average weekly earnings, meaning real wages fell. This created a 'cost-of-living squeeze' that disproportionately affected lower-income households, who spend a higher share of their budgets on food, energy and other essentials.

The government introduced a series of cost-of-living payments and energy bill subsidies, costing an estimated £70 billion. However, these were largely funded through additional government borrowing, raising concerns about long-term fiscal sustainability.

Looking forward, the Bank of England warned that inflation expectations had become embedded, raising the risk of a wage-price spiral. Bringing inflation back to target may therefore require maintaining tight monetary policy for an extended period, with potentially significant costs in terms of lower growth and higher unemployment.

2 1 Define 'CPI inflation' (Extract A, line 1).

[3 marks]

2 2 A household has a weekly food budget of £145. Food price inflation over a 12-month period was 19.2%.

Calculate the additional weekly amount this household must spend to maintain the same level of food consumption, to the nearest pound (£).

[4 marks]

2 3 Use Extract A to identify two significant points of comparison between CPI inflation and core CPI inflation over the period shown.

[4 marks]

2 4 Extract B (lines 4-5) refers to wholesale gas prices rising more than fourfold.

Draw an AD/AS diagram to show the most likely macroeconomic effect of a sharp rise in commodity prices.

[4 marks]

2 5 Extract C (lines 9-10) refers to the risk of a wage-price spiral.

Explain how a wage-price spiral may develop in an economy.

[10 marks]

2 6 Extract B (lines 7-8) states that the Monetary Policy Committee raised Bank Rate from 0.1% to 5.25%.

Use the extracts and your knowledge of economics to evaluate the view that tight monetary policy is the most appropriate response to high inflation caused by supply-side shocks.

[25 marks]

OR

Context 2 – Total for this context: 50 marks

THE UK BALANCE OF PAYMENTS AND EXCHANGE RATE

Study the extracts below and then answer the questions which follow.

Extract D *Selected UK balance of payments and exchange rate data, 2019-2023*

Table: UK current account balance and sterling effective exchange rate index (Jan 2005 = 100)

Year	Current Account (£bn)	% of GDP	Sterling Effective Exchange Rate Index
2019	-73.6	-3.1	77.8
2020	-54.9	-2.5	78.4
2021	-42.3	-1.8	80.2
2022	-97.7	-3.8	77.1
2023	-84.5	-3.1	80.6

Extract E *The UK's persistent current account deficit*

The UK has run a deficit on its current account for every year since 1983. The deficit reflects a combination of structural and cyclical factors. UK households tend to have a higher marginal propensity to import than many trading partners. The UK also has a substantial deficit in goods trade, partially offset by a surplus in services, particularly financial and business services.

GDP per capita varies substantially across UK regions, ranging from over £60,000 in parts of London to under £25,000 in the most deprived areas. This regional imbalance affects both consumption patterns and the geographic concentration of export-oriented industries.

Since the UK's departure from the EU, trade with the EU has fallen sharply: UK goods exports to the EU were around 16% lower in volume in 2023 than in 2019, while goods imports from the EU fell by about 8% over the same period. The full long-term effects of this structural change are still emerging.

Extract F *Sterling, competitiveness and policy responses*

A depreciation of sterling can, in principle, improve the current account by making exports cheaper and imports dearer. However, the impact depends on the Marshall-Lerner condition holding, and on the time period considered (the J-curve effect).

In 2022, sterling depreciated sharply against the US dollar, falling to a historic low of around $1.04 in September 2022, before recovering. This raised the cost of imported inputs and contributed to imported inflation.

Long-term improvement in the UK's external balance is widely seen as requiring supply-side policies to raise productivity, increase non-price competitiveness, and rebuild the manufacturing base. Some economists argue that without such reforms, the UK risks remaining dependent on capital inflows to finance its current account deficit, leaving the economy vulnerable to shifts in international investor confidence.

2 7 Define 'current account' of the balance of payments (Extract D).

[3 marks]

2 8 Use Extract D to calculate the percentage change in the sterling effective exchange rate index between 2019 and 2023.

Give your answer to one decimal place.

[4 marks]

2 9 Use Extract D to identify two significant points of comparison between the UK's current account balance (as a % of GDP) and the sterling effective exchange rate index over the period shown.

[4 marks]

3 0 Extract F (lines 4-5) refers to sterling depreciating sharply in 2022.

Draw an AD/AS diagram to show the most likely short-run effect of a depreciation of sterling on the UK macroeconomy.

[4 marks]

3 1 Extract F (line 1) states that a depreciation of sterling can improve the current account by making exports cheaper and imports dearer.

Explain how a depreciation of the exchange rate may improve a country's current account balance.

[10 marks]

3 2 Extract F (lines 7-8) suggests that long-term improvement in the UK's external balance requires supply-side policies.

Use the extracts and your knowledge of economics to assess the view that supply-side policies are more effective than exchange rate depreciation in correcting a persistent current account deficit.

[25 marks]

END OF QUESTIONS